

Hy-Tech Engineers Limited — IPO Executive Brief

Purpose: Decision-useful extraction from the validated 23-page IPO research report

Source: DRHP dated 4 September 2025, supplemented by selected public RHP-reported FY26 figures

Report date: 27 August 2026 · **Issue price:** ₹50–53 · **Lot:** 283 shares

Decision dashboard	Analyst conclusion
Subscribe at ₹53	YES — valuation leaves a margin of safety
Buy near GMP-implied ₹97	NO — multi-year expansion success is already priced in
Three-year fair value	₹75–85 per share
FY26 valuation at ₹53	22.3x P/E · 12.2x EV/EBITDA · 2.8x P/B
Core strength	~22% EBITDA margin, repeat customers, integrated manufacturing
Core risk	Promoter-owned US channel tied to ~23% of revenue

Bottom line: Hy-Tech is a profitable niche manufacturer offered at a defensible price, but it is not a clean governance or effortless growth story. Subscribe at ₹53; do not chase a listing price around ₹97.

Contents

1. Investment decision	1
2. Five-year ownership and financial track record	2
3. Business, revenue and customer quality	2
4. Operations, margins and cash conversion	3
5. Valuation, risks and decision triggers	4

1. Investment decision

Investor action	Call	Reason
IPO application at ₹50–53	Subscribe	22.3x FY26 earnings for a ~22% EBITDA-margin, ~20% ROE business with low post-issue leverage.
Listing-day purchase above ₹85	Avoid	At ₹97, P/E rises to 38.5x and EV/EBITDA to 20.9x; full capacity execution is pre-paid.
Three-year investor	Accumulate below ₹70	Fair value ₹75–85 assumes the expanded capacity reaches ~65–70% utilisation and margins hold.
If allotted	Part-book above ₹85	Retain only if utilisation rises, job-work intensity falls and the US channel remains stable.

Why the issue is investable

- **Established operating franchise:** 48 years in hydraulic fittings, over 10,000 SKUs, six plants, and IATF 16949 certification at three units.
- **Strong unit economics:** FY25 gross margin 65.4%, EBITDA margin 22.2%, ROE 21.4% and ROCE 20.5%.
- **Sticky customer behaviour:** 95.2% of FY25 revenue came from repeat customers; top-10 concentration declined from 53.6% in FY23 to 42.0% in FY25.
- **Real integration:** captive forging plus machining, testing and proposed plating support margins and qualification barriers.
- **Manageable financial risk:** FY25 net debt/EBITDA was 0.72x; ₹160 million of IPO proceeds is intended for debt repayment.

Why the valuation must remain discounted

- Every rupee of US revenue is sold through or sourced by **Hy-Tech USA Inc., a promoter-group entity**; the channel represented 22.85% of FY25 revenue.
- FY23–FY25 revenue rose 21%, but EBIT increased only 1.9% while operating invested capital rose 50.7%.
- Existing capacity was only ~63–70% utilised before a proposed ~60% addition.
- Cash conversion weakened sharply: CFO/EBITDA fell from 99.0% to 47.5% between FY23 and FY25.
- Product-wise revenue, true OEM share and end markets for 39.8% of revenue are not adequately disclosed.

2. Five-year ownership and financial track record

Promoter holding

Fiscal endpoint	Promoter shares	Total shares	Holding
FY22	368,410	372,910	98.79%
FY23	368,410	372,910	98.79%
FY24	368,910	372,910	98.93%
FY25	81,851,840	83,531,840	97.99%
FY26 / pre-offer	81,851,840	83,531,840	97.99%

The February 2025 split and bonus changed share counts, not ownership economics. The July 2025 Hemant-to-Ashwin transfer was within the promoter group. Based on the reported fresh issue and OFS at ₹53, promoter holding is estimated to fall to **~71.23% post-offer**.

Topline, bottom line, P/E and returns

Metric	FY22	FY23	FY24	FY25	FY26*
Revenue (₹mn)	N/D	1,333.36	1,377.08	1,613.82	1,894.00
Revenue growth	N/D	N/D	3.28%	17.19%	17.36%
PAT (₹mn)	N/D	180.02	115.96	196.19	225.90
PAT growth	N/D	N/D	-35.58%	69.19%	15.14%
PAT margin	N/D	13.50%	8.42%	12.16%	11.93%
ROE	N/D	28.80%	15.11%	21.39%	~20.07%e
ROCE	N/D	31.68%	15.24%	20.46%	N/D
Illustrative P/E at ₹53	N/D	24.54x	38.13x	22.55x	19.60x†

*FY26 revenue and PAT are selected public RHP-reported figures, not figures read directly from an audited RHP statement. FY26 ROE is an analyst estimate assuming no dividend or material OCI movement. †19.60x uses pre-issue EPS. After fresh-issue dilution, the correct IPO P/E is **22.25x**. Hy-Tech was unlisted, so actual traded historical P/E is **not applicable** for every pre-listing year. FY22 financials and FY26 ROCE were not available on a consistent source basis and have not been invented.

Trend: FY23–FY26 revenue CAGR was **12.41%**, but PAT CAGR was only **7.86%**. FY25 repaired FY24's margin shock; FY26 then produced another year of strong revenue growth without PAT-margin expansion. Returns recovered but remained below FY23 peaks.

3. Business, revenue and customer quality

Attribute	Evidence	Assessment
Product	DIN, JIC, ORFS, conversion and customised hydraulic fittings; >10,000 SKUs	High criticality and qualification value, but product mix revenue is undisclosed.
Revenue quality	96.2% product sales; point-in-time recognition; trivial contract liabilities	Strong accounting quality with little revenue-recognition judgement.
Repeat business	95.2% of FY25 revenue; 128 repeat customers	Strong behavioural stickiness , but no long-term contracts.

Attribute	Evidence	Assessment
Customer concentration	Largest customer 7.82%; top 10 at 42.02%	Improving, although four top-10 customers are unnamed.
Geography	Domestic 71.7%; exports 28.3%; USA 22.85% of total revenue	Domestic growth offsets a concentrated US export franchise.
End markets	Construction, farming and automotive = 52.3%	Cyclical and correlated; 39.8% remains classified as "Others."
Channel	Direct 88.6%; distributor 11.4%	"Direct" is not the same as OEM; true OEM revenue is not quantified.

The US related-party issue

Hy-Tech USA is the exclusive distributor for North America, Canada and Brazil. Direct sales to it plus customers sourced by it equalled **100% of Company US revenue** in FY23–FY25. Combined exposure was ₹368.69 million, or **22.85% of FY25 revenue**. Nearly all sales commission is paid to this promoter entity.

This creates three risks: minority investors own the manufacturer but not the offshore distribution margin; the Company has no independent route to its largest export market; and tariff or pricing pain can potentially be allocated between related parties. This does not invalidate the IPO at 22x earnings, but it warrants a permanent governance discount.

Industry position

The Indian hydraulic fittings market is projected to grow at **10.4% CAGR during CY24–CY30** and is over 90% unorganised. Fragmentation pressures commodity pricing, while IATF certification, broad SKU capability and export qualification protect organised suppliers. Hy-Tech's ~22% EBITDA margin is materially above the disclosed unlisted fittings peers, but standalone pricing power is limited: FY24 revenue grew 3.3% while EBIT fell 39.6% as cost pass-through lagged.

4. Operations, margins and cash conversion

Capacity and bottlenecks

Operating measure	FY23	FY24	FY25	Read-through
Fittings production (lakh pieces)	247	248	288	FY25 growth was volume-led.
Year-end capacity (lakh pieces)	326	366	455	Capacity expanded ahead of demand.
Calculated utilisation	75.8%	67.8%	63.3%	Down two years; reported KPI uses a higher undisclosed denominator basis.
Job-work charges / revenue	7.00%	7.99%	7.84%	Outsourced machining signals an internal constraint.

The IPO adds approximately **288 lakh pieces**, taking FY26 capacity from about 483 lakh to roughly 771 lakh pieces. The primary bottleneck is **CNC machining**, evidenced by rising outsourced job work, WIP and a capex list dominated by CNC equipment. The secondary bottleneck is **plating**; its Consent to Operate had not yet been applied for at the DRHP date. Post-expansion utilisation initially falls to ~44%, so absorption is a three-to-five-year task on industry growth alone.

Margin, cash flow and return dashboard

Metric	FY23	FY24	FY25	Assessment
Gross margin	65.2%	63.9%	65.4%	Structurally strong value-add.
EBITDA margin	23.5%	16.4%	22.2%	~22% appears a realistic ceiling.
EBIT margin	18.9%	11.0%	15.9%	Depreciation prevents full recovery.
PAT margin	13.5%	8.4%	12.2%	FY25 includes a non-recurring asset gain.
CFO/EBITDA	99.0%	82.8%	47.5%	The most important financial deterioration.
Free cash flow (₹mn)	174.71	-99.62	16.05	Expansion absorbed most operating cash.
ROIC	23.2%	10.7%	15.8%	Recovery incomplete despite more capital.

FY25 PAT included a ₹26.88 million asset-disposal gain. Normalised PAT was approximately **₹176.17 million**, reducing adjusted PAT margin to 10.9%. Three-year cumulative CFO was ₹667.06 million against ₹575.92 million of capex; free-cash-flow conversion was only **18.5% of cumulative PAT**. Core trade working capital reached 34.6% of revenue,

while the cash conversion cycle rose from 12 to 65 days, mainly because supplier credit normalised.

5. Valuation, risks and decision triggers

Price sensitivity

Price	Market cap (₹cr)	FY26 P/E	EV/EBITDA	View
₹53	503	22.3x	12.2x	Attractive relative to quality and execution optionality.
₹75	686	30.4x	16.5x	Near the lower end of three-year value.
₹97	870	38.5x	20.9x	Full execution priced in; avoid chasing.

At 60–75% utilisation of the expanded base, 22% EBITDA margin and 12x EV/EBITDA, estimated value ranges from approximately **₹71 to ₹89 per share**. A reasonable three-year fair-value range is **₹75–85**. The valuation case fails if margins settle below 20%, utilisation remains weak, or working-capital absorption prevents cash generation.

Highest-priority risks

- 1. Related-party channel:** promoter-owned Hy-Tech USA controls the route to ~23% of revenue.
- 2. Capital productivity:** FY23–FY25 EBIT was nearly flat despite 50.7% more operating invested capital.
- 3. Expansion absorption:** ~60% capacity addition against only ~63–70% current utilisation.
- 4. Cash conversion:** CFO/EBITDA fell to 47.5%; cumulative FCF/PAT was 18.5%.
- 5. Disclosure gaps:** no product-family revenue, no true OEM split, and unidentified end markets for 39.8% of sales.
- 6. Execution/regulatory:** plating approval and commissioning can delay throughput from the new CNC assets.
- 7. Cyclicity and tariffs:** correlated construction/agriculture/automotive demand plus concentrated US exposure.

What clients should monitor quarterly

- Unit-level capacity utilisation and revenue growth relative to installed capacity.
- **Job-work charges as a percentage of revenue** — this should decline after CNC commissioning.
- EBITDA margin around the 20–22% range and ROIC moving back toward 20%.
- Receivable days, core working capital and CFO/EBITDA recovery above 70%.
- Any change in Hy-Tech USA commission, agreement, related-party balances or tariff allocation.
- Consent to Operate and commercial ramp-up of the plating facility.

Final call: Apply at ₹53, avoid buying near ₹97, and use ₹75–85 as a three-year fair-value framework rather than a guaranteed target. The company has real manufacturing quality; the required discount reflects related-party dependence, weak recent capital productivity and execution risk.

Important limitation: Audited restated data reviewed directly covers FY23–FY25. FY26 figures are selected public RHP-reported data, and FY22 financial metrics were unavailable in the reviewed source. “N/D” means not disclosed, not zero. This brief is independent research for professional discussion, not personalised investment advice.